

Foreign Account Tax Compliant Act (FATCA) Project Details

Eritrea and the USA are the only two countries in the world which impose income tax on their respective non-resident citizens. Specifically, the USA citizens need to pay the tax to the USA also if the foreign tax is less than the USA tax.

To ensure that all non-resident citizens are declaring and paying their respective dues, FATCA (Foreign Account Tax Compliant Act) came into existence in 2010. The USA residents and non-residents (including green card holders) are covered under this law.

FATCA requires all foreign financial institutes (such as banks, mutual funds, pension schemes etc.) to disclose, to the relevant USA authorities, any account holder with them who is a USA resident for the tax purpose.

The law came into existence with an aggressive timeline for all FFIs. The FFIs were supposed to highlight any account having the account holder(s) meeting any of the following condition(s):

1. Place of birth is the USA
2. Has a mailing address or telephone number of the USA
3. Has transferred power of attorney to a person residing in the USA
4. Has a standing instruction to transfer money to any account in the USA

India and the USA entered into an agreement in 2015 which mandates financial institutions in India to obtain self-certifications of all individual and entity account holders to confirm if they are USA citizens for tax purpose. The onus is also on these financial institutions to carry out due diligence.

All financial institutes in India have put in place controls as per FATCA requirements. Individual and entity account holders can either provide the self-declaration on a physical form or through online tools. This self-declaration requires the account holders to submit the details like country of birth, existing and past citizenships, Residence for tax purpose, TIN received from all the countries (if applicable) in addition to a self-attested declaration informing whether the account holders has any tax liability in the USA or not.

Project Task

Assume that -

you are a business analyst working in IT department of a leading retail bank in India.

Your team has received a mandate to include FATCA declaration and relevant information submission form into existing internet banking facility.

The users should land on FATCA submission page every time they use net banking facility.

The user can postpone the FATCA declaration submission for up to 6 months after the functionality is rolled out.

Create a Use Case diagram for this functionality.